

Federal Contractor Due-Diligence Checklist

A structured framework for verifying government contract portfolios, novation requirements, audit history, FAR/CAS compliance, organizational conflict-of-interest (OCI) exposure, and past performance ratings before closing an acquisition of a federal contractor.

Prepared for	M&A Diligence Team / Deal Counsel
Scope	Pre-LOI through post-closing integration
Primary frameworks	FAR Parts 2, 9, 31, 42; CAS; SBA affiliation rules; CPARS/PPIRS

How to Use This Checklist

This checklist is designed for use by deal teams, government-contracts counsel, and financial/compliance advisors evaluating a target that holds one or more U.S. federal government contracts. Each section corresponds to a distinct diligence workstream. Work through every item, mark its status, and record the assigned risk weight when a flag is triggered. Section 7 aggregates flagged items into a composite risk score and risk tier. Section 8 consolidates every document that should be formally requested from the target's contracting officer(s) (CO) during vetting.

Status legend: [] Not started • [~] In progress • [x] Verified / cleared • [!] Flag raised (assign risk weight)

Note on scope: This is a general-purpose diligence framework, not legal advice. Deal-specific facts (agency mix, contract vehicle types, classification level, deal structure) should be reviewed with qualified government-contracts counsel and a DCAA-experienced accounting advisor before relying on any conclusion drawn from this checklist.

SECTION 1

Government Contract Portfolio Verification

#	Diligence Item	Verification Source / Method	Risk Wt.
1.1	Obtain the target's complete list of active federal contracts, task/delivery orders, and IDIQs directly from the company — not solely self-reported summaries.	Cross-verify against SAM.gov entity registration and USASpending.gov / FPDS-NG award data.	Med
1.2	Confirm contract vehicle types (GSA Multiple Award Schedule, GWAC, IDIQ, single-award, BPA) and current period of performance / exercised-option status for each.	Contract face pages, modifications register, FPDS-NG.	Med
1.3	Verify NAICS codes and small-business/set-aside status (8(a), SDVOSB, WOSB, HUBZone) claimed on each contract; assess post-transaction affiliation risk under SBA rules.	SAM.gov profile, SBA size certifications, 13 CFR 121.103 affiliation analysis.	High
1.4	Reconcile the target's internal contract register against agency-held records to catch undisclosed, expired, or terminated contracts.	Contracting officer confirmation letter or FOIA request to each contracting agency.	High
1.5	Identify contracts nearing recompetes, subject to incumbent bid protests (GAO/COFC), or with material revenue concentration risk.	GAO bid protest docket search, COFC filings, contract backlog schedule.	Med
1.6	Review funded vs. unfunded contract value (backlog) and confirm no outstanding stop-work orders, cure notices, or show-cause notices.	Contract file review; written confirmation from each contracting officer.	High
1.7	Confirm required facility/personnel security clearances are current and will survive the proposed transaction structure.	DCSA facility clearance record; personnel security officer interview.	Med

#	Diligence Item	Verification Source / Method	Risk Wt.
1.8	For classified work, identify whether a DCSA Change Condition Package (change of ownership) notification is triggered by the transaction.	NISPOM change-of-ownership procedures; DCSA industrial security representative.	High

Novation Agreement Requirements

Regulatory background: Under 41 U.S.C. § 6305 and FAR 42.1204, government contracts generally cannot be transferred to a third party. The Government may, at its discretion, recognize a successor in interest when the transaction involves transfer of all of the contractor's assets, or the entire portion of assets involved in performing the contract (e.g., asset sale, merger, or corporate consolidation). Pure stock acquisitions in which the original contracting legal entity survives unchanged generally do not require novation, since the contracting party itself has not changed — confirming deal structure early is the single highest-leverage step in this section.

#	Diligence Item	Verification Source / Method	Risk Wt.
2.1	Determine deal structure (stock purchase, asset purchase, merger, reverse triangular merger) and assess whether novation is legally required under FAR 42.1204(a).	Draft purchase agreement / merger structure memo; outside counsel opinion.	High
2.2	For asset deals or mergers, confirm which specific contracts require formal novation versus those eligible for a simple name-change agreement under FAR 42.1205 (no change of ownership interest).	Contract-by-contract legal-entity impact analysis.	Med
2.3	Prepare the novation package required by FAR 42.1204(e): transaction document, complete list of affected contracts (number, type, contracting office, dollar value, unpaid balance), evidence of transferee's capability to perform, organizational documents, and legal opinion.	Assemble jointly with target's contracts department and legal counsel.	Med
2.4	Identify the "responsible contracting officer" who will process the novation (typically the CO for the contract with the largest unfunded/funded balance among affected contracts).	FAR 42.1202; direct confirmation from target's contracts team.	Low
2.5	Assess timeline risk — novation review can take 60–180+ days and approval is entirely within Government discretion; model interim-operating risk if novation is not final by close.	Historical novation processing times for the relevant agencies; deal timeline model.	High
2.6	Evaluate whether interim performance under subcontract or teaming arrangements is needed pending approval, and confirm required third-party consents are obtainable.	Review prime contract assignment/subcontracting clauses; teaming agreement drafts.	Med
2.7	Confirm understanding of the fallback if novation is declined: the original contracting entity remains obligated, and the contract may be terminated for default if that entity cannot perform (FAR 42.1204(c)) — a material value-destruction risk.	Legal risk memo; consider escrow/indemnity for at-risk contract value.	High
2.8	For classified or SBIR/STTR contracts, confirm specialized transfer procedures and data-rights restrictions apply beyond standard novation.	SBIR/STTR award terms; DCSA guidance for classified contract transfers.	Med

SECTION 3

GSA OIG Audit Report Review

#	Diligence Item	Verification Source / Method	Risk Wt.
3.1	Search the GSA Office of Inspector General's Audit Reports and Semiannual Reports to Congress for any audit naming the target, its GSA Schedule/MAS contracts, or its industry segment.	GSA OIG public audit-report database (gsaig.gov/audit-reports).	Med
3.2	If the target holds a GSA Multiple Award Schedule (MAS) contract, review Contractor Assistance Visit (CAV) findings, Price Reduction Clause (PRC) compliance, and Industrial Funding Fee (IFF) reporting accuracy.	GSA Federal Acquisition Service contracting officer / CAV reports.	High
3.3	Request copies of any final GSA OIG audit reports, management decisions, and corrective action plans (CAPs) directly from the target; independently verify against publicly posted reports.	Target's compliance file; GSA OIG public database cross-check.	High
3.4	Check for open/unresolved audit recommendations, questioned costs, or disallowed costs; quantify potential clawback/repayment exposure.	Audit resolution tracking log; CFO/controller interview.	High
3.5	Review the target's responses to any GSA OIG subpoenas, data calls, or FOIA requests connected to a federal investigation.	Legal department correspondence log.	High
3.6	Cross-check GSA OIG referrals to DOJ under the False Claims Act, or to a suspension/debarment official, involving the target.	GSA OIG semiannual reports to Congress; DOJ press releases.	High
3.7	If no GSA-specific findings exist, review OIG audit activity from other agencies holding contracts with the target (DoD IG, agency-specific OIGs), since most contractors are multi-agency.	Agency OIG audit databases; Oversight.gov aggregator.	Med
3.8	Assess whether the target has been the subject of an OIG hotline complaint, whistleblower/qui tam referral, or a civil/criminal investigation referral of any kind.	Legal department disclosure; representations & warranties in purchase agreement.	High

SECTION 4

FAR & CAS Compliance History

Regulatory background: Under the Cost Accounting Standards Board's 2026 threshold update, the CAS exemption threshold rose to \$35 million and the full-coverage / Disclosure Statement threshold rose to \$100 million. Confirm which coverage tier (full, modified, or exempt) applies to the target's contracts under the current thresholds, since a contractor previously above the old thresholds but below the new \$100 million full-coverage threshold may still be required to comply with full CAS under transition rules.

#	Diligence Item	Verification Source / Method	Risk Wt.
4.1	Confirm CAS applicability tier (full, modified, or exempt) for the target's contract portfolio under current thresholds.	CAS Disclosure Statement; contract clause matrix (FAR 52.230 series).	High
4.2	If CAS-covered, obtain the current CAS Disclosure Statement (CASB DS-1) and all Cost Impact Statements filed for accounting-practice changes.	Controller / DCAA liaison; disclosure statement revision history.	Med
4.3	Request the full DCAA/DCMA audit history: pre-award accounting system surveys (SF 1408), incurred cost audits by fiscal year (with open/closed status), forward pricing rate agreements, and CAS compliance/adequacy audits.	DCAA audit report letters; DCMA administrative contracting officer (ACO) file.	High
4.4	Identify open or unresolved DCAA findings: business-system "significant deficiency" determinations (accounting, estimating, purchasing, MMAS, EVMS, property) or CAS noncompliance with cost impact.	DCAA/DCMA correspondence; business system approval letters.	High
4.5	Review provisional vs. final indirect (overhead/fringe/G&A) billing rates for the past 5 fiscal years; confirm no material rate volatility or unresolved rate disputes.	Incurred cost submissions (ICS); rate agreement letters.	High
4.6	Confirm compliance with mandatory disclosure under FAR 52.203-13 (Contractor Code of Business Ethics and Conduct) — timely written disclosures to the agency OIG/CO of credible evidence of fraud, bribery, conflict-of-interest, or civil False Claims Act violations.	Ethics/compliance office disclosure log.	High
4.7	Review terminations for default/cause, cure notices, show-cause notices, and disputes filed with a Board of Contract Appeals (ASBCA/CBCA) or the Court of Federal Claims.	Contract files; ASBCA/CBCA/COFC public dockets.	High
4.8	Confirm SAM.gov exclusion status is clean for the entity and key officers; review FAPIIS record for terminations, defective pricing findings, or non-responsibility determinations.	SAM.gov Exclusions search; FAPIIS extract (FAR Subpart 9.4).	High

#	Diligence Item	Verification Source / Method	Risk Wt.
4.9	Review any qui tam / False Claims Act litigation, settlements, or Corporate Integrity Agreements, and confirm repayment/monitorship obligations are captured in deal documents.	Litigation docket search; legal department disclosure; DOJ press releases.	High
4.10	Confirm export control (ITAR/EAR) status and cybersecurity compliance — CMMC level attained, DFARS 252.204-7012 safeguarding compliance, and any reported cyber incidents.	State/Commerce Department registration status; CMMC assessment records.	Med

Organizational Conflict of Interest (OCI) Risk Assessment

Regulatory background: FAR 2.101 and FAR Subpart 9.5 define an OCI as arising when, because of other activities or relationships, a contractor is unable to render impartial advice, its objectivity in performing contract work is impaired, or it has an unfair competitive advantage. GAO and Court of Federal Claims decisions recognize three categories: (1) Unequal Access to Information, (2) Impaired Objectivity, and (3) Biased Ground Rules. GAO requires "hard facts" of an actual or apparent conflict; mere allegations are insufficient — but M&A transactions frequently create new combined-entity conflicts that did not exist for either company standing alone.

#	Diligence Item	Verification Source / Method	Risk Wt.
5.1	Map the target's contract/subcontract portfolio for "Unequal Access to Information" OCI exposure — access to competitors' proprietary data or non-public source-selection information.	Contract SOW review; program security officer interview.	Med
5.2	Identify "Biased Ground Rules" exposure — contracts where the target wrote or materially influenced a SOW/specification for a later competitive procurement it might also pursue.	Contract deliverables register; proposal pipeline cross-check.	High
5.3	Identify "Impaired Objectivity" exposure — contracts where the target evaluates or advises on its own products/services or those of an affiliate.	SETA/advisory contract inventory; organizational chart review.	High
5.4	Assess new, transaction-created OCI: does the acquirer (or its other portfolio companies) hold contracts that would create a fresh OCI when combined with the target's book of business?	Combined-entity contract overlap analysis across both parties.	High
5.5	Review existing OCI mitigation plans, firewalls, NDAs, and personnel screens; assess whether they remain effective and enforceable under the post-close ownership structure.	Existing mitigation plan documents on file with contracting officers.	Med
5.6	Identify contracts containing OCI certifications or agency-specific OCI clauses, and confirm continuing obligations transfer appropriately.	Contract clause matrix; novation package cross-reference.	Med
5.7	Determine whether a pending bid/proposal could be protested on OCI grounds due to the transaction, and whether disclosure to the CO is required before or after closing.	Active proposal pipeline; outside counsel OCI opinion.	High
5.8	For consulting, IT, and management-support contracts (the segments FAR 9.502 identifies as most OCI-prone), conduct contract-by-contract review rather than portfolio sampling.	Line-by-line contract review by government-contracts counsel.	Med

Past Performance Rating Validation (CPARS / PPIRS)

Regulatory background: The Contractor Performance Assessment Reporting System (CPARS) is the government-wide official source of past performance information under FAR Subpart 42.15. Each evaluated factor and subfactor is rated on a five-tier scale — Exceptional, Very Good, Satisfactory, Marginal, Unsatisfactory — with a supporting narrative, and plus/minus trend indicators may be applied.

#	Diligence Item	Verification Source / Method	Risk Wt.
6.1	Obtain the complete CPARS evaluation history (interim and final) for all active and completed contracts within the review period.	Target's CPARS/PPIRS access (with authorization) or CO-provided copies.	Med
6.2	Tabulate ratings by factor (quality, schedule, cost control, management, small-business subcontracting) and flag any Marginal/Unsatisfactory rating or negative trend indicator.	CPARS Evaluation Data Dictionary factor mapping.	High
6.3	Confirm there are no pending contractor rebuttals, unresolved evaluation disputes, or evaluations still "under review" that could later be revised downward.	CPARS record status field; contracts department correspondence.	Med
6.4	Cross-reference CPARS ratings against actual contract-file events (cure notices, show-cause letters, terminations) to detect inconsistencies or lagging entries.	Contract administration file review vs. CPARS export.	Med
6.5	Assess "past performance portability" — whether ratings are tied to the specific legal entity/CAGE code being acquired, and whether the deal structure preserves the acquirer's ability to claim credit for this past performance in future competitions.	CAGE code / entity mapping; deal-structure legal memo.	High
6.6	Review small-business subcontracting plan compliance ratings where applicable, since repeated poor ratings are themselves a compliance and source-selection risk.	Individual Subcontracting Reports (ISR); CPARS subcontracting factor.	Med
6.7	Benchmark the target's average CPARS scores against industry/competitor norms for the relevant NAICS codes.	Industry past-performance benchmarking data / competitor CPARS samples.	Low
6.8	Confirm no CPARS record has been cited in a negative contractor-responsibility determination or an internal agency "do not compete" flag.	FAPIS responsibility/qualification information; agency source-selection files.	High

SECTION 7

High-Risk Flag Scoring Rubric

Assign the listed point value whenever a flag condition is confirmed present. Sum all triggered points into a composite score and map it to a risk tier below. Certain flags are marked as Veto Flags — regardless of the composite score, their presence should trigger an automatic Critical classification and executive escalation.

7.1 Contract Portfolio & Novation

Risk Flag	Category	Points
Undisclosed or unreconciled contract(s) vs. SAM.gov/FPDS-NG records	Portfolio	8
Revenue concentration >30% in contracts requiring novation with no CO pre-clearance	Novation	6
Small-business set-aside contract(s) at risk of affiliation-driven ineligibility post-close	Portfolio	7
Active bid protest or unresolved stop-work/cure notice on a material contract	Portfolio	5

7.2 GSA OIG / DCAA Audit Findings

Risk Flag	Category	Points
Open OIG audit with questioned costs > \$500K, unresolved	Audit	9
DOJ / suspension-debarment official referral from any OIG	Audit	10 — Veto Flag
Open "significant deficiency" finding on a business system	Audit	7
Sustained defective pricing (TINA) finding within past 3 years	Audit	6

7.3 FAR / CAS Compliance

Risk Flag	Category	Points
Active SAM.gov exclusion, debarment, or proposed debarment (entity or key officer)	Compliance	10 — Veto Flag
Unresolved CAS noncompliance with material cost impact	Compliance	8
Termination for default/cause within past 5 years	Compliance	7
Pending False Claims Act litigation, qui tam suit, or Corporate Integrity Agreement	Compliance	9

Risk Flag	Category	Points
Failure to timely disclose under mandatory disclosure rule (FAR 52.203-13)	Compliance	6

7.4 Organizational Conflict of Interest

Risk Flag	Category	Points
Unmitigated "Impaired Objectivity" OCI on a current contract	OCI	7
Unmitigated "Biased Ground Rules" exposure	OCI	6
New combined-entity OCI created by the transaction, unaddressed	OCI	8

7.5 Past Performance

Risk Flag	Category	Points
Any "Unsatisfactory" CPARS rating within past 3 years	Past Performance	8
Two or more "Marginal" CPARS ratings within past 3 years	Past Performance	6
Unresolved CPARS rebuttal/dispute	Past Performance	4
Past performance not portable to the acquiring entity's structure	Past Performance	5

Composite Risk Tiers

Score Range	Risk Tier	Recommended Action
0 – 15	Low	Proceed under standard closing conditions; routine reps & warranties.
16 – 35	Moderate	Targeted reps & warranties on flagged items; consider a limited escrow.
36 – 60	High	Purchase-price adjustment, indemnification carve-outs, and specialist government-contracts counsel review required before signing.
61+	Critical	Executive escalation; consider deal restructuring, walk-away, or extended confirmatory diligence. Any single Veto Flag independently triggers this tier regardless of total score.

Maximum possible composite score: approximately 96 points across all five categories. Veto Flags (active debarment/exclusion; DOJ or suspension-debarment referral) override the numeric tier and should independently trigger Critical-tier handling.

Documentation to Request from the Contracting Officer

The items below should be formally requested from the target's contracting officer(s) (CO) and/or administrative contracting officer (ACO), with the target's written authorization, as part of the vetting process. Where CO records are not obtainable pre-signing, request the equivalent copies directly from the target and independently verify against public sources (SAM.gov, USASpending.gov, GSA OIG, GAO/COFC dockets) post-signing but pre-closing.

A. Contract Portfolio Documents

- [] Complete, current list of all active and completed federal contracts, task/delivery orders, and IDIQs (contract number, type, agency, period of performance, funded/ceiling value) for the trailing 5 years
- [] Copies of the base contract, all modifications, and exercised options for each material contract
- [] Contracting officer point-of-contact list for all active contracts

B. Novation-Related Documents

- [] Written confirmation of which contracts the CO deems subject to mandatory novation under FAR 42.1204
- [] Copies of any prior novation agreements executed by the target
- [] Name and contact information for the "responsible contracting officer" designated to process the novation package (FAR 42.1202)

C. Audit & Compliance Documents

- [] All GSA OIG, DoD IG, and agency-specific OIG audit reports, management decisions, and corrective action plans (open and closed, trailing 5 years)
- [] DCAA/DCMA audit reports: pre-award accounting system surveys (SF 1408), incurred cost audit reports by fiscal year with open/closed status, forward pricing rate agreements, and CAS compliance/adequacy determinations
- [] Current CAS Disclosure Statement (CASB DS-1) and any Cost Impact Statements filed for accounting-practice changes
- [] Provisional and final indirect (overhead/G&A/fringe) billing rate agreements for the past 5 fiscal years
- [] Copy of the target's written Code of Business Ethics and Conduct and the log of all mandatory disclosures made under FAR 52.203-13

D. Responsibility & Legal Status Documents

- ☐ SAM.gov exclusion search results and FAPIIS record extract for the entity and key personnel
- ☐ Any show-cause notices, cure notices, terminations (default or convenience), and related correspondence
- ☐ Records of any Board of Contract Appeals (ASBCA/CBCA) or Court of Federal Claims disputes/litigation
- ☐ Records of any qui tam/False Claims Act matters, settlements, or Corporate Integrity Agreements

E. OCI Documents

- ☐ Copies of all OCI mitigation plans, organizational conflict of interest disclosures, and firewall/screening procedures on file with any contracting officer
- ☐ Any OCI-related bid protest decisions (GAO or Court of Federal Claims) involving the target
- ☐ List of contracts involving SETA, systems engineering, technical evaluation, or advisory work the target has flagged as OCI-sensitive

F. Past Performance Documents

- ☐ Full CPARS/PPIRS evaluation history export (interim and final evaluations) for all contracts over the trailing 5 years
- ☐ Any contractor rebuttal statements and the agency's response/resolution
- ☐ Small-business subcontracting plan compliance reports and ratings, where applicable

G. Security & Special Program Documents (if applicable)

- ☐ Facility Security Clearance (FCL) status and DCSA Change Condition Package requirements for the proposed transaction
- ☐ SBIR/STTR data rights and award transfer restrictions, if the target holds SBIR/STTR contracts
- ☐ Export control (ITAR/EAR) license status and CMMC certification level / self-assessment records

Recommendation: Engage outside government-contracts counsel and a DCAA-experienced accounting advisor before closing — particularly to lead the novation package preparation, review any open CAS/incurred-cost exposure, and confirm OCI mitigation plans survive the change of ownership.

Appendix: Key Regulatory Citations & Sources

1. FAR 42.1204, Applicability of Novation Agreements — <https://www.acquisition.gov/far/42.1204>
2. FAR Subpart 42.15, Contractor Performance Information (CPARS) — <https://www.acquisition.gov/far/subpart-42.15>
3. FAR Subpart 9.4, Debarment, Suspension, and Ineligibility — <https://www.acquisition.gov/far/subpart-9.4>
4. FAR 52.203-13, Contractor Code of Business Ethics and Conduct — <https://www.acquisition.gov/far/52.203-13>
5. NASA Organizational Conflicts of Interest Handbook (FAR Subpart 9.5 implementation) — <https://www.nasa.gov/wp-content/uploads/2023/09/nasa-organizational-conflicts-of-interest.pdf>
6. Fox Rothschild, New GAO Decision Highlights Effective OCI Identification and Mitigation Practices (2025) — <https://governmentcontracts.foxrothschild.com/2025/05/articles/general-federal-government-contracts-news-updates/new-gao-decision-highlights-effective-oci-identification-and-mitigation-practices/>
7. DCAA, About DCAA — Services (audit types) — <https://www.dcaa.mil/About-DCAA/Services/>
8. Federal News Network, The CAS Board's Carrying Out a Mandate — New 2026 Thresholds — <https://federalnewsnetwork.com/acquisition-policy/2026/04/the-cas-boards-carrying-out-a-mandate-and-comments-are-now-open/>
9. GSA Office of Inspector General, Audit Reports, Memos, and Oversight — <https://www.gsaig.gov/audit-reports>
10. U.S. Department of Energy, FAPIIS Knowledge Articles (SAM.gov responsibility/exclusion data) — [https://www.energy.gov/sites/default/files/2022-12/FAPIIS%20Knowledge%20Articles%20\(1\).pdf](https://www.energy.gov/sites/default/files/2022-12/FAPIIS%20Knowledge%20Articles%20(1).pdf)
11. DCAA Contract Audit Manual (CAM) — <https://www.dcaa.mil/Guidance/CAM-Contract-Audit-Manual/>